

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PHILLIP MARCIANO LLC, *Complainant*

v.

US CARGO SERVICES INC., *Respondent*.

DOCKET NO. 25-11

Served: August 26, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER REQUIRING ADDITIONAL INFORMATION

I. Introduction and Discussion

On July 22, 2025, Respondent US Cargo Services Inc. (“US Cargo”) filed a motion to dismiss as well as its answer to the verified complaint (“Motion”) along with an exhibit. On July 25, 2025, Complainant Phillip Marciano LLC (“Phillip Marciano”) filed its opposition to the motion to dismiss (“Opposition”) with two exhibits. Respondent did not file a reply and the time to file a reply has passed.

The complaint alleges a violation of 46 U.S.C. § 41102(c) and (d) and 46 C.F.R. § 545.5 with regard to withholding delivery of Complainant’s goods transported via three bills of lading. Complaint at 2-3. According to the complaint, Phillip Marciano “engaged D & T Apparels Inc. (‘D&T’) as a shipping broker” and in turn, “D&T engaged Respondent to arrange for the U.S. Customs clearance and as carrier for delivery of the Cargo to Complainant.” Complaint at 3. Tausif Hassan is identified as the “principal/representative” of D&T with whom Phillip Marciano worked closely. *Id.*

The complaint further alleges that “[a]t the direction of Hassan, however, upon the Cargo’s clearance at customs, Respondent failed and/or refused to deliver the Cargo to Complainant as consignee, in breach of the obligations set forth in the Bills of Lading” and that while “Complainant attempted to resolve this matter in good faith with both Respondent and Hassan directly, Respondent refused to communicate with Complainant, advising that because they were engaged by Hassan, Respondent would only speak or take directions from him.” Complaint at 4; *see also* Complaint at 5 (Respondent refused “to complete delivery in accordance with the subject Bills of Lading (at Hassan’s direction) until there is payment of some unrelated past due balance.”).

US Cargo states that it is a licensed non-vessel operating common carrier (“NVOCC”). Motion at 1. US Cargo contends that it “acted solely as a delivery agent at destination, not as carrier or issuer.” Motion at 1. US Cargo argues that it “had no contractual or commercial

relationship with the Complainant. The respondents' dealings were with Deal Zone NY (Tausif Hassan), who provided a signed letter acknowledging responsibility for the shipment and confirming the container was in their custody." *Id.* at 2. US Cargo argues that:

Complainant's agent D&T Apparels, through Tausif Hassan, directed all delivery matters. If any delay or withholding occurred, it was in the direction of the controlling party or their nominated agent. Respondent cannot be held liable for refusing release without proper delivery instructions or proof of ownership. The allegations in the Verified Complaint amount to a commercial dispute between Complainant and its broker/agent (D&T Apparels), not a regulatory violation by Respondent.

Motion at 3.

In opposition, Phillip Marciano contends that Tausif Hassan, "the shipping broker who hired Respondent as freight forwarder to complete shipment of Complainant's goods, wholly undermine Respondent's attenuated position because he admits that he uses Respondent as his exclusive shipping broker and that he intentionally chose to not deliver Complainant's goods as retribution." Opposition at 1. Phillip Marciano argues that the complaint "more than adequately pleads wrongdoing against Respondent as the carrier and/or forwarder involved with the subject Bills of Lading" and that "Respondent was supposed to complete delivery of the subject cargo to Complainant and refused to do so at Hassan's direction based upon an unrelated balance that Hassan purports Complainant owes." Opposition at 3.

Further, Phillip Marciano addresses the letter from Tausif Hassan and mentions a case it brought against US Cargo, D&T Apparels, and Deal Zone in the United States District Court for the District of New Jersey, stating:

Most notably, Hassan confesses to the wrongdoing leading to both this Complaint and the District Court Action, stating that delivery was deliberately withheld to Plaintiff because of a claimed outstanding balance: "we decided not to deliver this cargo to original client [Plaintiff] because of our long-standing dues with them for around half a million."

Opposition at 4. Phillip Marciano requests discovery to understand the relationship between US Cargo and Tausif Hassan and to determine where the goods are currently located.

Regardless of the veracity of the Tausif Hassan letter, the parties seem to agree that when US Cargo refused to release the cargo, it was acting at the direction of Tausif Hassan. This raises a number of questions which were not sufficiently addressed by the motion and opposition.

II. Relevant Law

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions to dismiss, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. "In evaluating whether a complaint before the Commission states a

cognizable claim under the Shipping Act, the Commission has relied on Federal Rules of Civil Procedure 12(b)(6) and the federal case-law interpreting it.” *Cornell v. Princess Cruise Lines, Ltd.*, 2014 WL 5316340, at *6 (FMC Aug. 28, 2014).

Federal Rule of Civil Procedure 12(b) permits a party to raise, by motion, lack of subject matter jurisdiction (12(b)(1)), lack of personal jurisdiction (12(b)(2)), and failure to state a claim (12(b)(6)). F.R.C.P. 12; *see also Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 2011 WL 7144008, at *11 (FMC Aug. 1, 2011). “Proper jurisdiction for a federal court is fundamental and necessary before touching the substantive claims of a lawsuit.” *Arena v. Graybar Elec. Co., Inc.*, 669 F.3d 214, 223 (5th Cir. 2012).

“It is elementary law that a tribunal should determine its jurisdiction before addressing the merits of a controversy brought before it. This principle is especially relevant when the tribunal has limited jurisdiction such as this Commission.” *Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, Docket No. 00-02, 29 S.R.R. 394, 396, 2001 WL 1632555, at *3 (ALJ Sept. 20, 2001) (citing *The Government of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (FMC 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (FMC 1999); *NPR, Inc. v. Board of Commissioners of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (ALJ 2000)). “Complainants bear the burden of demonstrating that the Commission has jurisdiction to adjudicate their claims.” *Crocus Investments, LLC v. Marine Transport Logistics, Inc.*, 1 F.M.C.2d 403, 406 (FMC July 16, 2019) (citing *River Parishes Co., Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 188, 201 (ALJ 1998), *aff’d* 28 S.R.R. 751 (FMC 1999)).

The complaint alleges a violation of section 41102(c). The Commission has identified five factors required to establish a violation of this section.

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4. The parties are asked to address each of these factors.

The Shipping Act defines and regulates a number of different types of entities that are involved in the international shipment of goods by water, including common carriers.

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country[.]

46 U.S.C. § 40102(7); *see also* 46 C.F.R. § 515.2(e).

The Shipping Act also provides that the term “ocean transportation intermediary” means “an ocean freight forwarder or a non-vessel-operating common carrier.” 46 U.S.C. § 40102(20). The term non-vessel-operating common carrier is defined as a common carrier that “(A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(17). The term ocean freight forwarder is defined as “a person that-(A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.” 46 U.S.C. § 40102(19).

III. Order

Commission Rule 25 generally gives the presiding officer the authority to regulate proceedings before him or her, including the authority to dispose of any matters that normally and properly arises in the course of a proceeding. *See* 46 C.F.R. § 502.25. Accordingly, the parties are asked to address the following questions to the best of their ability, including identifying any discovery that would be necessary to resolve the question. The parties shall file their responses on September 22, 2025. Both parties may respond to the other parties’ filing on October 6, 2025.

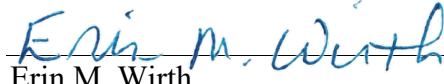
A. *Both parties* should address whether the complaint plausibly alleges the five elements which are required for a section 41102(c) claim.

B. *Complainant* should also address:

1. Whether US Cargo was acting as an NVOCC, OFF, or other role for these shipments. Any evidence in support of its position should be provided.
2. If arguing that US Cargo could ignore the instructions provided by Tausif Hassan, the legal basis for that argument.
3. Provide any legal support for the argument that using an entity as an exclusive shipping broker is relevant to any of the issues in this proceeding.
4. The legal basis for the Commission to have jurisdiction over this matter, specifically addressing whether the Commission has jurisdiction over a dispute between a shipper and its consignee.

C. *Respondent* should also address:

1. Please provide your OTI license number and any arguments regarding whether you were acting as an NVOCC, OFF, or other entity for these three shipments.
2. Provide any evidence regarding your relationship to Tausif Hassan.
3. Indicate where the cargo is now or the legal basis for not disclosing this information.


Erin M. Wirth
Chief Administrative Law Judge